

Chapter 3

Diving into Cloud Economics

In This Chapter

- ▶ Forming an economic strategy
- ▶ Exploring the costs of the cloud

Many companies today are expanding into cloud computing as a way to reduce the cost and complexity of delivering traditional IT services. But determining the best mix of public and private cloud services and data center services is complicated. You can't simply add up specific costs and make a fast determination of what's the best approach for your organization. Instead, you have to look at your business requirements for performance, availability, and security and the workloads that you need to support. A *workload* is an independent service or collection of code that can be executed. You have to look at services such as Infrastructure as a Service (IaaS), Platform as a Service (PaaS), and Software as a Service (SaaS) in context with your business goals and the impact on the customer experience.

In this chapter, you examine both the indirect value factors that affect the economics behind IaaS and PaaS models as well as the direct cost factors.